ISSUER REVIEW · 6M2026

Latvenergo

OK

Latvia · Energy utility (hydro and gas CHP generation, distribution and transmission assets, retail supply)

Position OK. 1H profit EUR 144.6m (+7%), rating Baa2 stable[2]. Debt is rising because of large renewable investments: net debt / EBITDA 2.4x (1.5x a year ago), but FFO / net debt of 35% is still above the strategy target of >25%[4].

EBITDA · 6M2026
284.6 EUR m
▲ 4.7 % vs 6M2025

NET PROFIT · 6M2026
144.6 EUR m
▲ 6.9 % vs 6M2025

NET DEBT / EBITDA · 6M2026
2.4 x
▲ 0.9x vs 6M2025

FFO / NET DEBT · 6M2026
35 %
▼ 22 p. p. vs 6M2025

Quick summary

- **Profit up:** 1H revenue EUR 941.8m (+11%), EBITDA EUR 284.6m (+5%), net profit EUR 144.6m (135.3m)[5].
- **More generation:** 3,336 GWh of electricity produced versus 2,603 GWh a year ago. In 2025, 66% of electricity came from renewable sources[2,6].
- **Debt rising with investment:** net debt EUR 1,372.1m (843.1m), net debt / EBITDA 2.4x (1.5x). Investments EUR 255.5m in the half year and a record EUR 792.1m in 2025[2,7].
- **Cheap funding:** in June 2026 EUR 300m of 7-year green bonds were issued at a 1.3% yield[8].

Key facts

ISSUER RATING
Moody's Baa2, stable outlook (affirmed October 2025)[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
9M 2026 interim report - 2026-11-30[3]

COUNTRY
Latvia

Securities held

Latvenergo 4.952% 6Y green bond
LV0000802684 · 4.952% · 2029-02-22
Green bond · no separate rating found

Latvenergo 2.42% 5Y green bond
LV0000870129 · 2.42% · 2027-05-05
Green bond · no separate rating found

Latvenergo 0.5% 7Y green bond
LV0000802460 · 0.5% · 2028-05-17
Green bond · no separate rating found

Latvenergo 3.612% 5Y green bond
XS3227294132 · 3.612% · 2030-11-13
Green bond · no separate rating found

01 Instruments held and ISINs

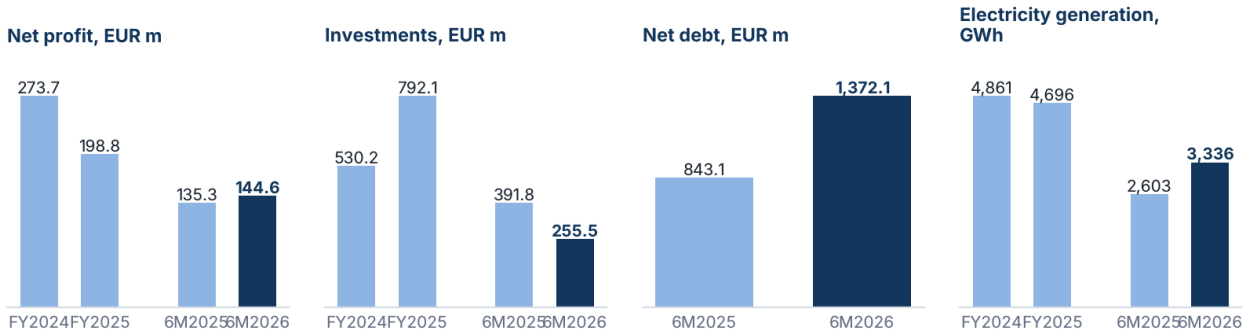
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
LV0000802684	Latvenergo 4.952% 6Y green bond Green bond	4.952%	2029-02-22	no separate rating found	Green bond; Moody's Baa2; issue date = listing date
LV0000870129	Latvenergo 2.42% 5Y green bond Green bond	2.42%	2027-05-05	no separate rating found	Green bond; Moody's Baa2; issue date = listing date
LV0000802460	Latvenergo 0.5% 7Y green bond Green bond	0.5%	2028-05-17	no separate rating found	Green bond; Moody's Baa2; issue date = listing date
XS3227294132	Latvenergo 3.612% 5Y green bond Green bond	3.612%	2030-11-13	no separate rating found	Green bond; Moody's Baa2

02 Key ratios

METRIC	FY2025	6M2025	6M2026	CHANGE
Revenue, EUR m[7,9]	1,566.1*	847.1*	941.8*	▲ 11.2 % vs 6M2025
EBITDA, EUR m[2]	–	271.7*	284.6*	▲ 4.7 % vs 6M2025
Net profit, EUR m[1,2]	198.8*	135.3*	144.6*	▲ 6.9 % vs 6M2025
Investments, EUR m[7,2]	792.1*	391.8*	255.5*	▼ 34.8 % vs 6M2025
Net debt, EUR m[2]	–	843.1*	1,372.1*	▲ 62.7 % vs 6M2025
Net debt / EBITDA[2]	–	1.5x*	**2.4x***	▲ 0.9x vs 6M2025
FFO / net debt[1,2]	39%*	57%*	**35%***	▼ 22 p. p. vs 6M2025
ROE[2]	–	5.2%*	**6.9%***	▲ 1.7 p. p. vs 6M2025
Equity, EUR m[2]	–	2,969.5*	3,035.9*	▲ 2.2 % vs 6M2025
Total assets, EUR m[7,2]	4,967.5*	4,471.3*	5,259.6*	▲ 17.6 % vs 6M2025
Equity ratio[2]	–	66.4%ᶜ	**57.7%ᶜ**	▼ 8.7 p. p. vs 6M2025
Electricity generation, GWh[10,2]	4,696*	2,603*	3,336*	▲ 28.2 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- **Renewables build-out:** 937 MW of wind and solar installed at end-June, with an approved 1,144 MW project portfolio; strategy target 600 MW by 2026 and 2,300 MW by 2030[11].
- **2025 generation mix:** hydro 2,882 GWh (61%), gas-fired Riga CHPs 1,587 GWh (34%), wind and solar 209 GWh (shares calculated by the tool)[12].
- A severe storm on 2026-08-22 caused widespread power outages[8].

04 Financials

- **FY2025 revenue EUR 1,566.1m (2024:** 1,703.6m), profit EUR 198.8m (273.7m, −74.8m); FFO / net debt 39%[13].
- Equity EUR 3,035.9m, total assets EUR 5,259.6m, an equity ratio of 57.7% (calculated by the tool); ROE 6.9% (5.2%)[2].
- **Dividends to the state:** EUR 141.0m from 2025 profit approved on 2026-05-27, paid in two EUR 70.5m instalments (June and by 30 November)[14].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Strategy 2022-2026: ROE >7%, adjusted FFO / net debt >25%, Moody's rating ≥ Baa3, dividend payout >64%	6M 2026: ROE 6.9%, FFO / net debt 35%, rating Baa2[15]	Partly: the rating and FFO targets are met; ROE (6.9%) is close to the 7% target[2].	**Partly**
Build or acquire 600 MW of wind and solar by 2026	937 MW installed at 2026-06-30[16]	Exceeded[17].	**Met**
2,300 MW of renewables by 2030; at least 250 MW / 500 MWh of storage by 2030	Approved project portfolio of 1,144 MW[18,6]	Long-term target, financed with green bonds[8].	**In progress**
Climate-neutral electricity generation by 2040; cut Scope 1 emissions 47% by 2030 (vs 2021)	2025: −17%[19]	In progress; progress depends on how much the gas plants run[19].	**In progress**

06 Investor information & conclusions

- **Instruments held:** four green bonds, 2.42% 2027 (EUR 100m), 0.5% 2028 (EUR 50m), 4.952% 2029 (EUR 50m) and 3.612% 2030 (EUR 400m)[20,21,22,23]. Moody's rates the green bonds Baa2[24].
- **Next maturity:** the 2.42% bond on 2027-05-05. The company has funding: it borrowed EUR 300m at 1.3% in June 2026[21,8].
- **State ownership (100%)** and the dividend policy (>64% payout) mean part of the cash goes to the state, but the rating target (≥ Baa3) caps borrowing[25].
- **Conclusion:** the business is profitable, borrowing is growing as planned and credit metrics are above the strategy limits.

07 Market and environment

- **Cold weather lifted sales:** revenue +11% to EUR 941.8m on higher gas, power and heat sales in a cold start to the year; EBITDA +5% to EUR 284.6m on new solar and wind output and higher CHP output[17].
- **Power prices:** the Latvian average price was EUR 102.6/MWh (87.3 a year earlier); the Nord Pool system price more than doubled on cold weather, higher demand and low Nordic hydro (22 TWh below the long-term average)[26].
- **Daugava and gas:** Daugava HPP output fell 4% to 1.6 TWh as river inflow was 24% below the long-term average[27]; TTF gas averaged EUR 40/MWh (-7%), EU storage was 38% full (46% a year earlier)[14].
- **Outlook:** new wind and solar parks will be commissioned in 2026-2027, adding about 2.2 TWh of annual generation[28].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.43% (2026-10)	3.23%	2.72%	▲ 0.71 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

- **Management:** on 2026-10-05 board member Māris Kuņickis left the company[29].
- **Tet and LMT:** on 2026-10-22 it was reported that Latvenergo is ready to continue cooperating in the buy-out process of Tet and LMT stakes[30].
- **Gas prices:** on 2026-10-14 the company's analyst warned that natural gas has not been this expensive for years[31].

Automatic news scan (Google News, LV), 2026-07-25 – 2026-10-23: 6 articles.

2026-10-05	MANAGEMENT	"Latvenergo" valdes loceklis Māris Kuņickis atstāj darbu uzņēmumā Jauns.lv
2026-10-22	OTHER	"Latvenergo" gatava turpināt sadarbību "Tet" un LMT daļu izpirkšanas procesā TVNET

2026-10-21	OTHER	Vai ziemā pietiks gāzes un kas notiks ar cenām? «Latvenergo» skaidro situāciju pirms apkures sezonas bb.lv
2026-10-14	OTHER	Tik dārga gāze nav bijusi gadiem: "Latvenergo" analītiķe brīdina par saspringtu situāciju pirms apkures sezonas Dzentlmenis.lv
2026-10-14	OTHER	"Latvenergo": tik dārga dabasgāze nav bijusi gadiem ilgi NRA
2026-10-13	OTHER	"Latvenergo" elektroauto uzlādes tīkla attīstībā sper nākamo soli DELFI

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - No weapons, tobacco or gambling
  - No coal or oil & gas extraction.
  - The two Riga CHPs run on natural gas (34% of output in 2025)[12].
  - The SEB fossil fuel policy restricts coal and oil & gas extraction, not gas-fired generation[32].
- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies found.
  - Significant corruption or ethics breaches in 2024-2025: 0[33].
  - In a 2020 procurement case the anti-corruption bureau KNAB closed the criminal proceedings with no wrongdoing established[34].
- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).
- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (search in Latvian and English, 2026-10-22).
  - News summary 2026-07-25 – 2026-10-23: 6 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - 66% of electricity from renewable sources[6]
  - S&P Global CSA score 54, in the top 30% of electric utilities worldwide[35]
  - Moody's ESG credit impact score CIS-2[7].
  - All bonds are green[20,21,22,23].
- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - Target of climate neutrality by 2050 and climate-neutral generation by 2040[36].
  - EU taxonomy-aligned investments 97% (target ≥80%)[37].

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**

- No yellow flags found.
- Serious accidents and major pollution cases in 2024-2025: 0[38].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable

- The Investments policy[39], the Electricity & Renewable Energy policy[40] and the Fossil Fuels policy for the gas plants[41].

Met

- Emission reduction targets for 2030 and 2040[19]
- 2024 emissions across all scopes independently verified[42]
- ISO 50001 energy management[43]
- Zero corruption cases and a fraud risk management plan[44]
- No coal.

Could be improved

- Absolute Scope 1-3 totals not found in the report text.

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**

- No need: a clear renewable transition strategy and sound ESG practice.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**

- Generation emission intensity 0.100 t CO2/MWh in 2025 (target 0.06 by 2030)
- Scope 1 emissions −17% vs 2021[19]
- Taxonomy-aligned investments 97%[37]
- Renewable share 66%[19].

Additional comments:

Conclusion: No exclusions or red flags. Mostly hydro, with fast-growing wind and solar and clear climate targets; the gas plants remain as backup capacity.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

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31. NRA – "Latvenergo": tik dārga dabasgāze nav bijusi gadiem ilgi, 2026-10-14
32. SEB Fossil Fuels sector policy (2026-04-23), p. 7-9, 2026-04-23
33. Latvenergo Group - Annual report 2025, p. 29, 2026-04-29
34. jauns.lv / LTV de facto - Latvenergo procurement audit (2020), 2020-10-04
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36. Latvenergo Group - Annual report 2025, p. 26-27, 2026-04-29
37. Latvenergo Group - Annual report 2025, p. 29-30, 2026-04-29
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